



NITI Aayog

DRAFT



SECTOR AT A GLANCE

Access to credit

MSME

2023-MSME-SAG-05

Sector at a Glance

Access to credit

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The **'Sector-at-a-Glance'** provides an easy-to-read overview and basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives, and the way forward for the sector

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Overview

According to a World Bank report¹, the global micro, small and medium enterprise (MSME) credit or finance gap is close to \$5 trillion. The rejection rate for MSME proposals for trade finance is 45%. According to the Asian Development Bank (ADB), 47% of MSMEs that were initially rejected and sought alternative financing were unable to find suitable options; this excludes MSMEs that did not apply for financing. According to a Standing Committee on Finance report in 2022, which quotes the UK Sinha Expert Committee report in India, a similar scenario unfolds with a credit gap of Rs 20-25 lakh crore, indicating a substantial funding shortfall, which was around 10% of India's current gross domestic product (GDP) in 2019.

The government has significantly increased allocations to the Ministry of MSME, with an eightfold rise over fiscal year 2016-24. These budgetary enhancements primarily target credit support. Key government initiatives and schemes include the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) and Pradhan Mantri Mudra Yojana (PMMY). Additionally, alternative financing, digital lending platforms and supply chain financing offer promising avenues for MSME finance.

MSMEs are benefitting from innovative financing approaches, such as cash flow-based lending and invoice discounting. Digitalisation and collaborative models such as the Account Aggregator framework are enhancing accessibility to credit and driving financial inclusion.

Global MSME formal credit gap²

Figure 1: MSME finance gap, US\$ trillion



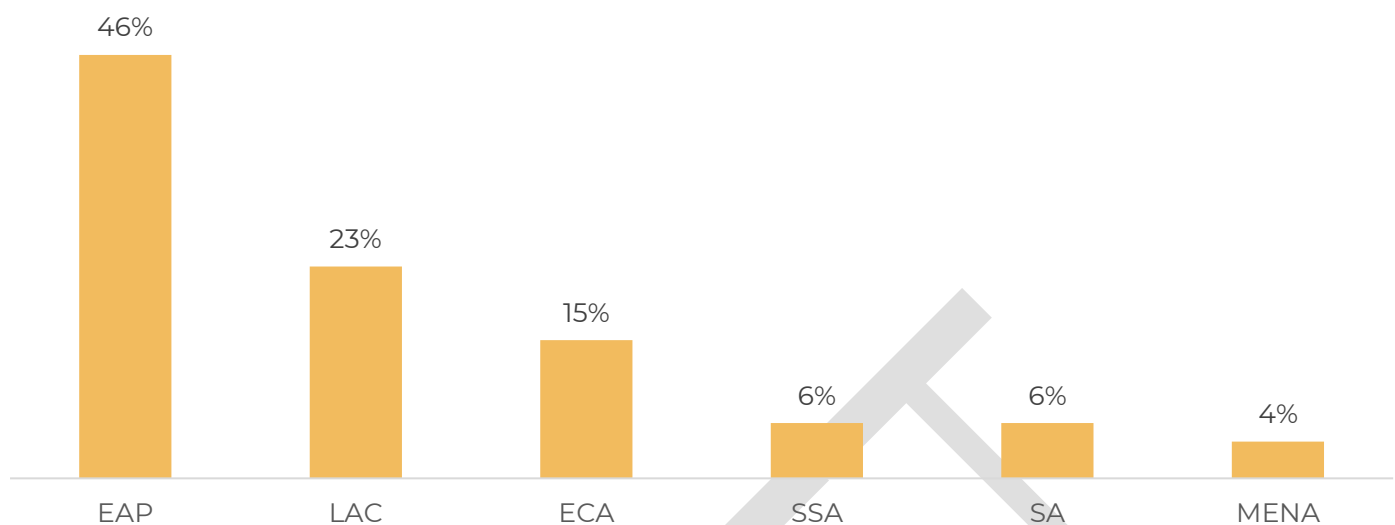
Source: World Bank Report, 2018

According to a World Bank report, the microenterprise finance gap represents 13.8% of the global unmet financing demand within the MSME segment, while the small and medium enterprises finance gap accounts for a substantial 86.2%, collectively totalling a vast \$5.2 trillion global formal credit gap. This significant finance gap underscores that 59% of the potential demand for MSME finance remains unaddressed, reflecting the ongoing financing needs of these enterprises in the long term.

¹ World Bank, 2018, MSME Finance Gap

² Report of Expert Committee 2019, MSMEs RBI

Figure 2: MSME credit gap largest in East Asia and the Pacific

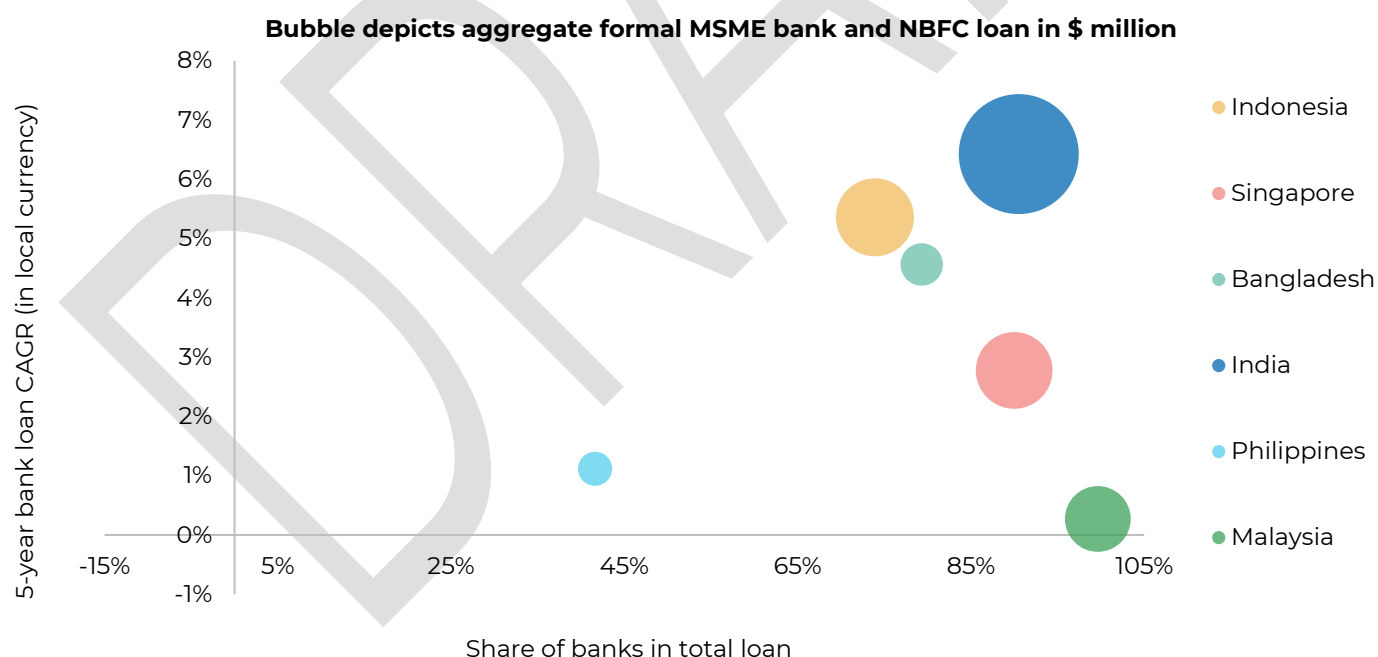


EAP = East Asia and the Pacific; ECA = Europe and Central Asia; LAC = Latin America and the Caribbean; MENA = Middle East and North Africa; SA = South Asia; SSA = Sub-Saharan Africa

Note: % indicates total credit gap in the region w.r.t to overall

Source: World Bank Report, 2018 ³

Figure 3: India's formal MSME credit higher than Asian peers'; banks hold lion's share in MSME credit across all Asian countries⁴



Note: The bubble in the chart signifies the aggregate formal loan amount (in \$ million), encompassing bank loan outstanding for both MSMEs and NBFCs. The CAGR on Y-axis indicates MSME bank loan growth over fiscals 2016-21. For the Philippines, data is for fiscal 2020.

Source: Asian Development Bank Report, 2022

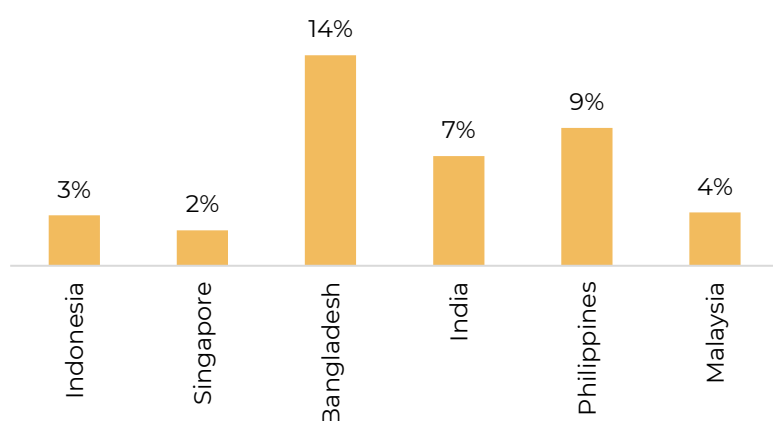
³ World Bank, 2018, MSME Finance Gap

⁴ Asian Development Bank, 2022, SME Enterprises in Asia and The Pacific

India stands out in the Asian MSME credit landscape (bank and NBFC), with \$278,000 million in loans to MSMEs. The share of banking in MSME credit in India is 92%. The dominance of banks underscores their pivotal role in providing MSME credit not just in India but also across various Asian countries.

Figure 4: India's gross NPL as a percentage of MSME bank loans marginally higher than most Asian peers'

Gross NPL as a percentage of total MSME bank loans



Gross NPL percentages in the chart reveal varying degrees of credit quality in MSME lending across the Asian countries mentioned. Indonesia and Singapore exhibit lower NPL rates, suggesting sound loan repayment, while the comparatively high rates in Bangladesh, India and the Philippines indicate potential risks.

According to Reserve Bank of India Financial Stability report December 2023, Gross NPL as a percentage of MSME bank loans is 4.7% as of September 2023.⁵

Source: Asian Development Bank Report, 2022⁶

Credit gap within the MSME sector in India

The narrative is the same in India. Despite the government's efforts to promote formalisation and improve access to financial services, there is a noticeable disparity between the funding needs of MSMEs and the actual credit available to them.

According to a Standing Committee on Finance report in 2022, which quotes the UK Sinha Expert Committee report⁷, India faces a substantial credit gap in the range of Rs 20-25 lakh crore, significantly affecting the financing landscape for MSMEs. A fourth of the debt is sourced formally. According to an ADB report⁸, the cost of capital from the informal segment is extremely high. As per interactions with market participants, MSME loan interest rates vary. Medium and Small enterprises face exorbitant rates of 17-25% from informal sources, while formal channels like NBFCs and banks offer 7-13%. For Micro-enterprises, the situation worsens, as rates from informal channels can go even higher.

⁵ Reserve Bank of India, 2023, Financial Stability Report

⁶ Asian Development Bank, 2022, SME Enterprises in Asia and The Pacific

⁷ Ministry of Finance, 2022, Standing Committee on Finance

⁸ ADBI Working Paper Series, 2016, Finance for Micro, Small, and Medium-Sized Enterprises in India

Micro-enterprises: Significant presence but limited credit access

99.4% of MSMEs fall within the micro category, but they account for only 25-30% of the MSME credit portfolio.⁹ The significant role of micro-enterprises in the economy is evident, but access to formal credit remains a challenge for many of these businesses.

Figure 5: Category-wise distribution of enterprises (in units)

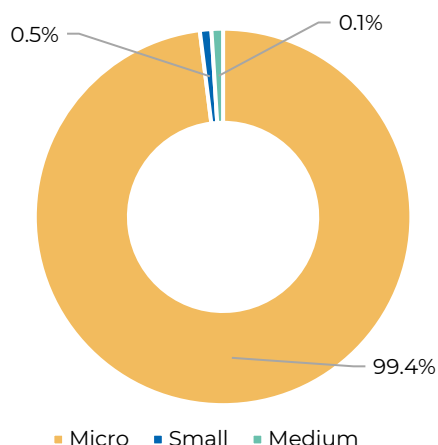
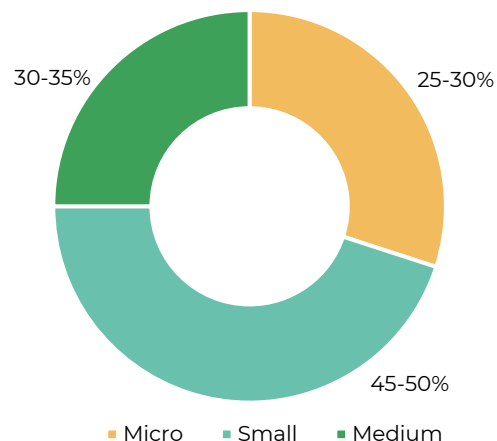


Figure 6: Credit-wise distribution of enterprises (in amount)



Source: Standing Committee on Finance Report, 2022

Micro-lending is on a gradual rise, supported by formalisation. According to a Small Industries Development Bank of India (SIDBI) report, the micro-segment, with credit exposure less than Rs 1 crore, saw 23% on-year growth in origination value while the small segment, with credit exposure between Rs 1 crore to Rs 10 crores, saw a 1% growth in the fourth quarter of fiscal 2023.¹⁰ In FY Q4FY23, New-to-credit (NTC) borrowers accounted for 56% of new loan originations in the MSME lending space. Specifically, within the 'micro'-segment, NTC borrowers contributed over 61% of originations.

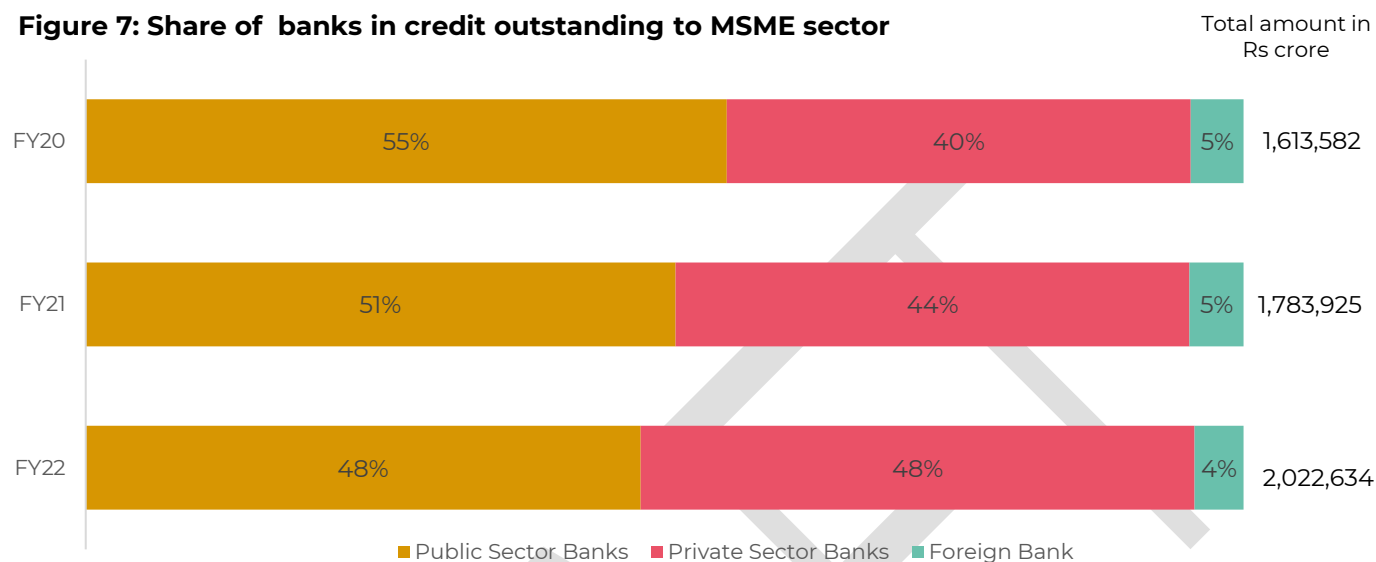
⁹ Ministry of Finance, 2022, Standing Committee on Finance

¹⁰ Small Industries Development Bank of India, 2023, MSME Pulse

Private banks growing share in MSME credit outstanding

The outstanding credit to MSMEs stood at Rs 2,022,634 crore¹¹ in fiscal 2022, registering a CAGR of 12% from fiscal 2020 to fiscal 2022. Meanwhile, private sector banks experienced almost double that growth rate (CAGR of 22%). Consequently, their share increased from 40% to 48%. This trend highlights the increasing importance of private sector banks in meeting the credit requirements of MSMEs.

Figure 7: Share of banks in credit outstanding to MSME sector



Source: Reserve Bank of India, 2022

Navigating growth and financing in the MSME landscape

According to SIDBI¹², the MSME sector is poised for sustained growth, with a projected CAGR of 2.5% in the number of entities. By fiscal 2023, the number of MSME corporate entities was expected to reach around 750 lakh, of which approximately 500 lakh were likely to be new-to-credit (NTC) MSMEs. Recognising this significant potential, lenders have an opportunity to tap into this vast segment by identifying deserving NTC MSMEs, engaging with them, and tailoring credit products to suit their unique requirements.

There is a noticeable demand for credit, marked by a substantial volume of commercial credit inquiries, according to SIDBI. However, the conversion of these inquiries into actual MSME disbursements presents a considerable challenge within the lending landscape. For example, in the fourth quarter of fiscal 2023, there was a significant 33% on-year increase in inquiries, but disbursements experienced an on-year decline of 1.6%.

The significant disparity in loan sizes, with medium-sized enterprises securing considerably larger loans than micro-enterprises, underscores the diverse financial needs across businesses. Micro-enterprises secured loans of around Rs 8 lakh, small businesses up to Rs 44 lakh, and medium-sized enterprises up to Rs 98 lakh in the fourth quarter of fiscal 2023.

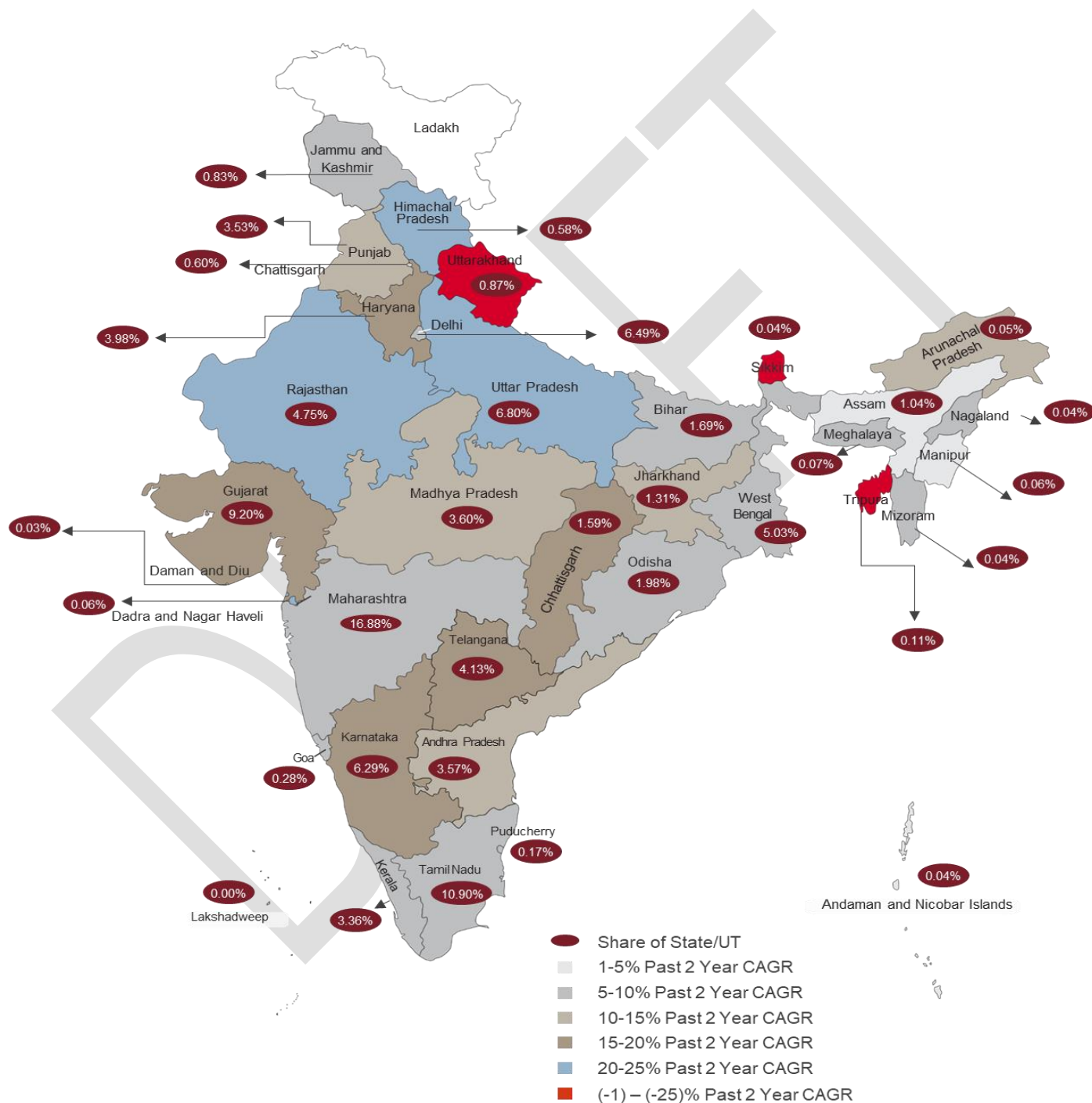
¹¹ Government of India, 2022, Bank Group-wise Credit Outstanding to MSME sector

¹² Small Industries Development Bank of India, 2023, MSME Pulse

Top 5 states account for ~50% of MSME credit outstanding in India¹³

Uttar Pradesh, Himachal Pradesh, and Rajasthan experienced nearly double the national average growth over fiscal 2020 to 2022 in MSME credit outstanding, which was 12%. Interestingly, a few states such as Uttarakhand, Tripura and Sikkim saw a decline in MSME credit outstanding over the same period. Maharashtra holds the largest share (~17%) in MSME credit outstanding among all states/UTs. On the other hand, the bottom 20 states contribute only about 8% to the total MSME credit outstanding among states/UTs.

Figure 8: State-wise contribution and growth in MSME credit outstanding



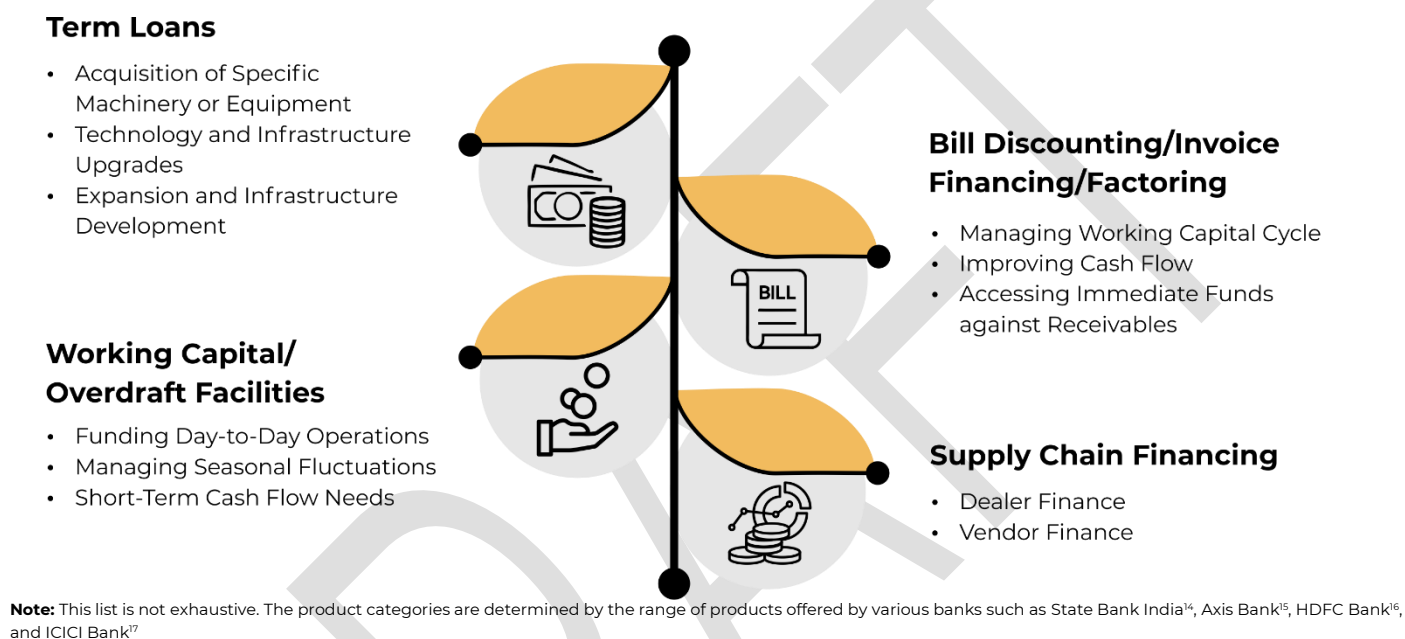
Source: Reserve Bank of India, 2022

¹³ Government of India, 2022, State/UTs-wise Credit outstanding to MSME

Tailored credit solutions for diverse MSME financial needs

MSMEs form a dynamic sector with distinct operational demands. Recognizing the diversity in their financial necessities, a spectrum of credit products has evolved. These range from term loans supporting technology upgrades to working capital facilitating day-to-day operations. Tailored to specific needs, these credit solutions serve as a cornerstone, empowering MSMEs for sustained growth and resilience in the business landscape.

Figure 9: Credit Products for MSMEs



Empowering MSMEs through credit ratings

According to an Asian Development Bank report¹⁸, MSME credit ratings offer advantages, reducing information gaps for banks and fostering quicker loan approvals. These ratings, often more detailed than those for larger corporations, enable MSMEs to negotiate favourable interest rates and enhance their standing with suppliers. Credit rating for MSMEs involves a thorough assessment of their operations, strengths and risks by independent rating agencies. These agencies gather information on the enterprise's financial health, market standing and repayment history to assign a rating that reflects its creditworthiness. The rating helps banks and other stakeholders gauge the risk associated with extending credit to the MSME.

Additionally, credit ratings contribute to a comprehensive database, aiding businesses and organisations in identifying potential MSME suppliers. Most credit rating agencies have developed modified rating tools taking into consideration the specifics of the MSME sector.¹⁹

¹⁴ SBI – Business, Apply for MSME loan / SME loan schemes in India

¹⁵ Axis Bank, Business Loans

¹⁶ HDFC Bank, Business Loan

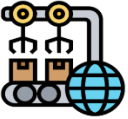
¹⁷ ICICI Bank, SME Product - SME Banking Products & Services

¹⁸ Asian Development Bank, 2019, The Role of Credit Rating Agencies in Addressing Gaps in MSME Financing

¹⁹ U K Sinha Committee Report, June 2019, Report of Expert Committee on Micro, Small and Medium Enterprises

Challenges and opportunities

Major challenges

	Limited access to formal finance A significant hurdle for MSMEs is financial institutions' reluctance to extend loans to this sector. Many lack adequate collateral, and their financial records frequently fall short of meeting banking standards. As a result, the formal credit penetration rate stands at a mere 20%²⁰. For women entrepreneurs, access to formal credit is even lower, estimated at just 10%²¹. Access to formal finance is the biggest issue, as evidenced by the importance given to this aspect. About two-thirds of the MSME allocation was designated for the credit support schemes like CGTMSE, MUDRA etc in Union Budget 2023-24.
	Lack of collateral and credit history²² Many MSMEs in India lack substantial physical assets and struggle to provide collateral for loans. Combined with a lack of credit history, this increases the risk for lenders and hinders their willingness to extend credit to MSMEs. Without adequate collateral and credit history, MSMEs face challenges in accessing the necessary financing for their business operations and growth. A study by the ADB in July 2016 found that the main challenge leading to the underutilisation of formal sources in MSMEs was inadequate collateral assets.
	Limited access to affordable credit and complex borrowing processes MSMEs in semi-urban and rural areas often have limited access to affordable credit options, which leaves them with few alternatives for accessing the much-needed credit. Additionally, many MSME owners lack financial literacy and understanding of the borrowing process, which is often complex. The combination of limited credit options and complex processes deters MSMEs from applying for loans, further widening the credit gap. Accordingly, Union Bank's Saral Centres, for instance, help MSMEs overcome complex borrowing processes, providing simplified and convenient banking services.
	Limited access to digital financial services Limited financial literacy and restricted access to digital financial services pose challenges for MSMEs in securing credit. Insufficient understanding of credit requirements and digital platforms hinders documentation preparation and online loan applications, potentially leading to loan rejections or less favourable credit terms. A study by the World Bank found that MSMEs that used digital financial services could increase their access to finance by up to 50%.

²⁰ International Finance Corporation, 2018, Financing India's MSMEs

²¹ IFC, 2018, Financing India's MSMEs

²² United Nations Commission on International Trade Law, 2021, Access to Credit for Indian MSME

Opportunities

The challenges faced by MSMEs in India, including limited access to formal finance, lack of collateral and credit history, and complex borrowing processes, underscore the pressing need for innovative solutions. Supply chain financing, digital lending platforms and alternative financing models provide promising avenues to address these issues. These forward-looking approaches can help bridge the credit gap by offering simplified access, assessing creditworthiness efficiently, and diversifying funding sources, ultimately empowering MSMEs to overcome longstanding financial challenges and drive their growth.

	Supply chain financing²³ Supply chain financing (SCF) is another promising opportunity for MSMEs to access finance. This approach involves collaborating with larger corporations within their supply chain. These larger partners may offer early payment options for invoices, ensuring timely cash flow for MSMEs. Leading players such as HDFC Bank, Axis Bank, State Bank of India and Bank of Baroda have developed their proprietary SCF platforms, integrating them into their transaction banking.
	Digital lending platforms One significant opportunity for MSMEs to access finance is through digital lending platforms. These platforms leverage technology and data analytics to assess creditworthiness swiftly and provide loans at competitive rates. By simplifying the application process and reducing the need for extensive collateral, digital lenders offer an efficient and accessible channel for MSMEs to secure funding. Digital lending platforms bridge the financing gap for MSMEs by leveraging technology for swift credit assessments and offering efficient loan processes. Integrating UPI and the Account Aggregator framework enhances accessibility, ensuring hassle-free access to funds for small businesses. Indian fintech companies such as Lendingkart and Capital Float are leading the way in providing digital lending platforms, allowing MSMEs to access quick and hassle-free loans based on their digital profiles.
	Alternative financing models Alternative financing, like peer-to-peer lending, crowdfunding and invoice financing, allows MSMEs to tap into diverse funding sources, sidestepping traditional banks. Growing in popularity, these platforms offer tailored financing options, enabling MSMEs to diversify their capital procurement. Start-ups in India, such as Ketto and Faircent, are pioneering alternative financing models such as crowdfunding and peer-to-peer lending, creating new avenues for MSMEs to secure funding beyond conventional banks.

²³ International Finance Corporation, 2019, Supply Chain Finance

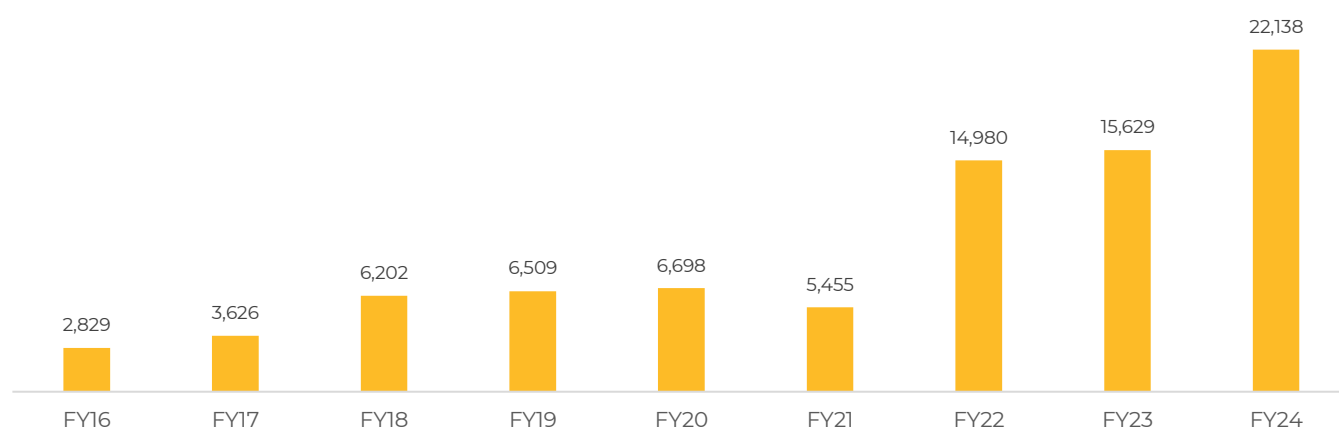
Government interventions²⁴

Acknowledging the significance of credit for MSMEs, the Indian government has devised multiple schemes and policies to bolster credit accessibility and support the sector's growth.

Budgetary allocations for MSMEs have increased at a substantial 29% CAGR over the past eight years (fiscals 2016-24). This reflects the government's recognition of the crucial role MSMEs play in India's economy, and their potential for driving employment and economic growth. By directing a significant portion of funds (almost two-thirds) towards credit support schemes, the government facilitates easier access to formal credit for MSMEs.

Figure 10: Government push to the sector: Allocations to the Ministry of MSME rise 8x over fiscals 2016-24²⁵

Rs Crore

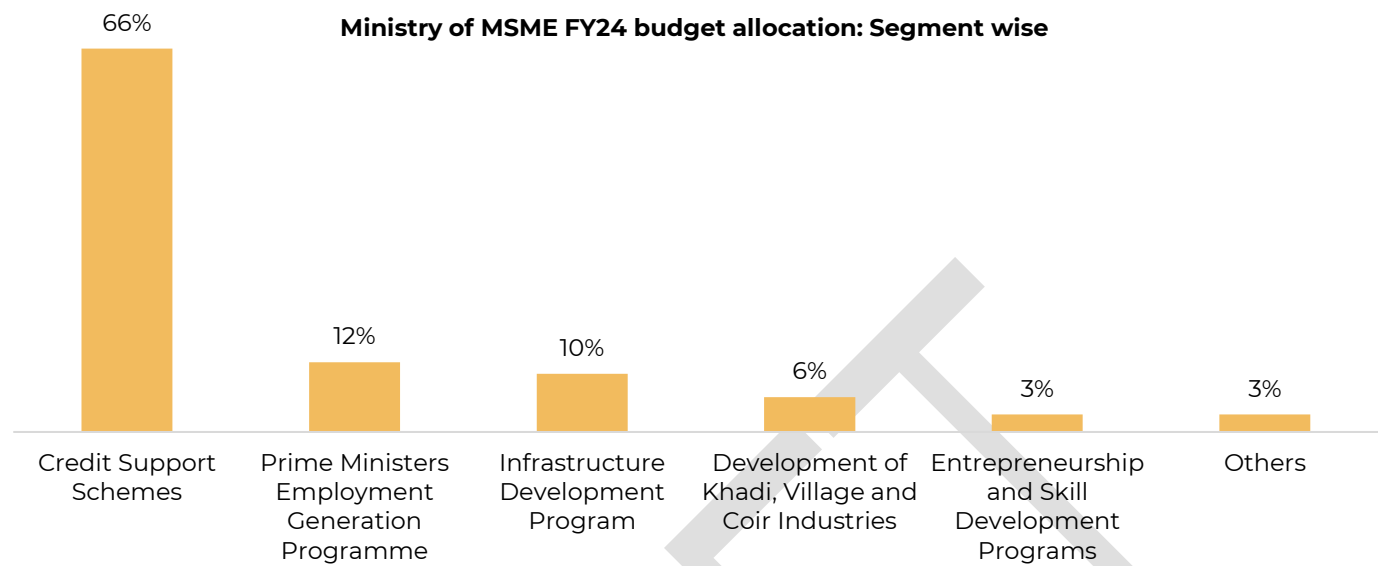


Source: India Budget, 2023-24

²⁴ India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises

²⁵ India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises

Figure 11: Allocation of about two-thirds of MSME budget towards credit support schemes²⁶



Note: Others Include National Small Industries Corporation, Village and Small Industries, North Eastern Areas etc

Source: India Budget, 2023-24

²⁶ India Budget, 2023-24, Ministry of Micro, Small and Medium Enterprises
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Government Interventions

Major policies and schemes

	Credit Guarantee Fund Trust for Micro and Small Enterprises, 2000 (CGTMSE)²⁷ CGTMSE enables collateral-free credit for MSMEs through banks, NBFCs and financial institutions in India. It offers credit limits up to Rs 200 lakh and provides guarantees covering a portion of the loan amount. As per the latest available data from the annual report until November 2023, approximately 67 lakh proposals have been approved, totalling around Rs 4 lakh crore as on December 31, 2022.
	Pradhan Mantri Mudra Yojana, 2015 (PMMY)²⁸ PMMY offers financial support to MSMEs through loans disbursed by various financial institutions. In fiscal 2023, PMMY loans reached ~Rs 4 lakh crore, comprising 15-20% of formal MSME credit. Amount disbursed under PMMY via Mudra loans grew 44% in four years.
	Trade Receivables Discounting System (TReDS), 2014²⁹ TReDS is an online platform linking MSMEs, corporates and financiers to discount trade receivables. Its primary goal is to aid MSMEs in addressing working capital challenges by selling unpaid invoices. In fiscal 2022, TReDS processed 17 lakh invoices valued at Rs 44,111 crore.
	Udyam³⁰ Udyam registration, replacing Udyog Aadhaar, offers MSMEs a unique identification number (URN) for government incentives and credit access. Registration has grown tenfold since the third quarter of fiscal 2021, but it covers only 42% of MSMEs (as of November 2023).

²⁷ Ministry of MSME, 2023, Annual Report

²⁸ Pradhan Mantri Mudra Yojana, 2023, PMMY Report

²⁹ Reserve Bank of India, Trade Receivables Discounting System (TReDS)

³⁰ Ministry of MSME, 2023, Annual Report

Way forward

Innovative approaches are redefining traditional models in the evolving landscape of MSME credit access. From cash flow-based lending to digital innovations such as Open Credit Enablement Network (OCEN) integration, collaborative models and invoice discounting, these forward-looking strategies are redefining how MSMEs navigate the financial ecosystem, enhancing accessibility and promoting growth within the sector.

	Cash flow-based lending Shifting from collateral-based models, the emerging cash flow-based lending for MSMEs involves credit assessment of metrics such as net present value, cash flow, debt coverage ratio and credit history, reducing the barrier created by collateral requirements imposed by banks. Major institutions such as SBI³¹ have also embraced cash flow lending for MSMEs, further promoting this innovative approach to credit assessment and accessibility by banks.
	Invoice discounting³² MSMEs use invoice discounting, also known as receivables financing. This method involves selling outstanding invoices to financial institutions or lenders at a discounted rate, enabling MSMEs to access immediate funds based on their pending payments. For example, Indian fintech companies such as KredX and Mlxchange offer invoice discounting platforms that enable MSMEs to unlock working capital by selling their unpaid invoices to a network of investors.
	Empowering MSMEs through digital innovation Rapid digitalisation and OCEN integration are revolutionising how MSMEs access funds. Digital lending platforms simplify credit processes using technology and innovative scoring methods. OCEN securely shares financial data, enhancing resource acquisition for MSMEs. The Reserve Bank of India's Public Tech Platform³³ for Frictionless Credit is an innovative initiative to improve MSMEs' access to credit. Using open APIs and standard protocols, it simplifies credit processes, cuts costs and speeds up fund disbursements. Integrated with services such as Aadhaar e-KYC and land records, it enhances operational efficiency and scalability in lending. Open Network for Digital Commerce (ONDC)³⁴, a government-led initiative, empowers India's e-commerce ecosystem with a decentralised approach. It is a community-driven network promoting inclusivity, supporting local businesses, and empowering MSMEs. By allowing MSMEs to list products and gain visibility, ONDC promotes hyperlocal delivery, encourages competition, and reduces costs, fostering a more accessible e-commerce landscape. ONDC benefits Fintech as they provide credit and financing solutions to firms that are engaged in e-commerce.

³¹ Asset Backed Loan, State Bank of India

³² Ministry of Finance, 2022, Standing Committee on Finance

³³ Reserve Bank of India, 2023, Public Tech Platform for Frictionless Credit

³⁴ Open Network for Digital Commerce, 2023, About Us



Collaborative models³⁵

The Account Aggregator (AA) model offers a secure framework for aggregating and sharing financial data among institutions. By leveraging the AA model, MSMEs can enjoy better access to credit through more precise risk evaluation, tailored financial solutions and data-driven insights. Indian fintech companies such as Sahayata and Finbox use the AA model, allowing MSMEs to share data with lenders for simplified and enhanced credit access.

³⁵ World Bank, 2023, India's digital transformation
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Recommended readings

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